

The eurozone's goods trade surplus is under structural threat

The eurozone's trade balance for goods is facing both cyclical and structural pressure. After a long period of large surpluses, volatility is likely to increase and the average surplus is set to decline. While some rebalancing can be healthy, this is more a sign of weakness than strength, as eurozone exports are under pressure



A large container ship arriving at the Maasvlakte harbour in Rotterdam

The eurozone growth model, built on competitive exports of goods and access to cheap inputs, is under structural pressure. The energy price shocks, increased Chinese competitiveness, and the changing role of the US in the world economy work against the exceptionally high trade surplus that the eurozone has had since the global financial crisis.

The Middle East war is likely to weaken the trade balance in the short run. But the problem is also a structural one, as European companies are facing stronger global competition, particularly from China, which has made rapid advances in several key sectors. Export growth is therefore becoming a less important engine of the economy, which affects the growth outlook.

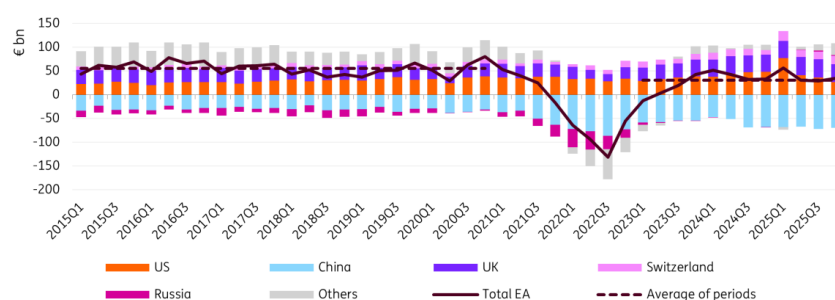
How the eurozone growth model is being reshaped

The eurozone's economic model was reshaped after the global financial crisis of 2008 and the subsequent euro crisis. Pre-2008, Germany ran large trade surpluses, which were counterbalanced by the trade deficits of countries in the south. When the euro crisis forced southern European countries to tighten their belts, their trade deficits disappeared. The policy response to the euro crisis always implicitly aimed to impose the German economic model on the rest of Europe. And, at least for a while, it succeeded. Most of the eurozone effectively became more 'German'; i.e. wage growth was more subdued, imports were modest and exports strengthened. This resulted in a trade surplus of around €50bn per quarter for the eurozone as a whole in the late 2010s.

But this decade, the goods surplus has come under pressure. This is mainly due to more expensive energy, but the eurozone's competitive position has also weakened due to higher wages and increased external competition. Services trade has been less affected so far, but the impact on goods trade can be significant. For the years ahead, we see more downside for the goods trade balance as increased defence spending will likely boost imports, the competitive position of China continues to show strength, and energy dependence remains a weak spot for the eurozone.

The eurozone goods trade balance is structurally lower since the pandemic

Eurozone goods trade balance with partners



Comext, ING Research

The war in Iran adds renewed pressures on the eurozone trade balance

That steady, strong trade surplus of the 2010s was interrupted abruptly by the energy shock of 2021/22. While the eurozone had always been a net importer of energy, the dramatic reduction of Russian gas supply pushed energy costs sharply higher, dragging the total trade balance into a deficit. Since then, it has diversified away from cheap Russian energy, but towards pricier alternatives, which has kept pressure on the trade balance. Overall, the eurozone goods trade surplus still remains almost 30% lower than in 2019.

Renewed tensions linked to the oil shortages arising from the war in the Middle East will put the eurozone's trade surplus under pressure again this year. To illustrate this, let's assume that goods trade volumes remain unchanged from 2025. Focusing only on the first round effects of higher energy import prices, the trade balance could fall sharply to €49bn in 2026, from €149bn in 2025. This scenario assumes [our base case](#), in which disruptions at the Strait of Hormuz continue

until July but ease gradually.

In a more pessimistic scenario where the disruptions are stronger and continue until August, the eurozone's trade balance risks falling into a significant deficit again at -€115bn in 2026.

Clearly, the eurozone's dependence on external energy makes it vulnerable to short- and long-term shocks in the energy markets. After a period of very benign geopolitics, the renewed tensions of the 2020s are increasing volatility in the eurozone's trade balance and, for now, are resulting in a lower average trade surplus.

To President Trump's delight, the trade surplus with the US is also coming down

Eurozone exports to the US, its top export destination, surged ahead of President Trump's 'Liberation Day' announcement in April 2025. As US firms rushed to frontload goods to avoid elevated tariffs, exports to the US jumped by over 60% year-on-year in March 2025. Medicine and pharmaceuticals made up over 40% of total shipments that month. This was short-lived. In the second half of the year, exports to the US fell by 20% (almost €60bn) compared to the first half, leading to a smaller trade surplus with the US. While some of this lost trade was diverted elsewhere, it was not enough to fully offset the decline.

We are wary about drawing meaningful conclusions on the back of the tariff developments just yet. As things settle, we will see just how much export volume to the US has been permanently lost. We don't expect the impact to be insignificant, but neither do we expect it to be dramatic. At the same time though, energy imports from the US have increased as the eurozone has reduced its reliance on Russia for gas. And the European Commission has promised a lot more imports to come in the years ahead. With more US LNG export capacity coming online, this adds to the changing trade relationship between the US and eurozone. However, if overall demand for LNG remains the same, these additional US supplies would largely substitute for imports from other countries such as Norway and Qatar.

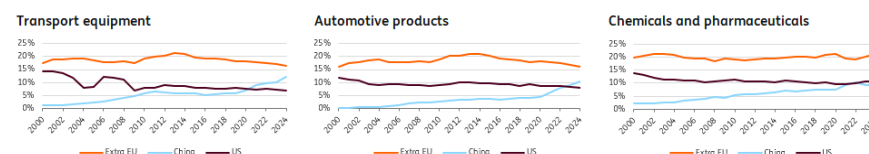
Yet, the eurozone's trade rebalancing is increasingly a China story

Energy cost pressures and tariff frictions are creating short term stress for eurozone trade. But when it comes to the imbalance with its main trading partners, China stands out.

Increased Chinese competition in the eurozone, and in third markets, has been a trend that restarted with the Covid pandemic, and has been intensifying as Chinese production has moved up the value chain. At the same time, weak domestic demand in China has added to overcapacity, which has contributed to a more aggressive export strategy. We have written extensively about this [here](#).

China has been gaining global share in some high-value sectors

Share in global exports, %

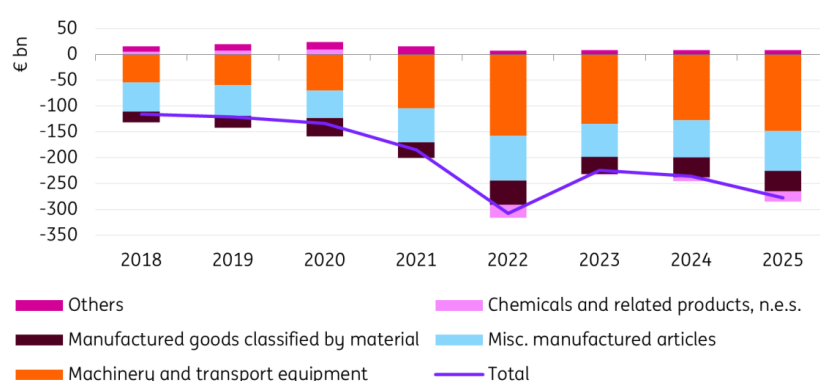


WTO, ING Research

The eurozone has also become more reliant on China over recent years. The share of imported goods from China has risen from 14% to 16% between 2019 and 2025. The growth in imports has been staggering, at 51% over the same period, while exports to China declined by 1%. As a result, the eurozone's goods trade deficit with China now stands at €156bn more than in 2019.

Eurozone goods trade balance with China is structurally lower since pre-pandemic

Eurozone trade balance with China



Comext, ING Research

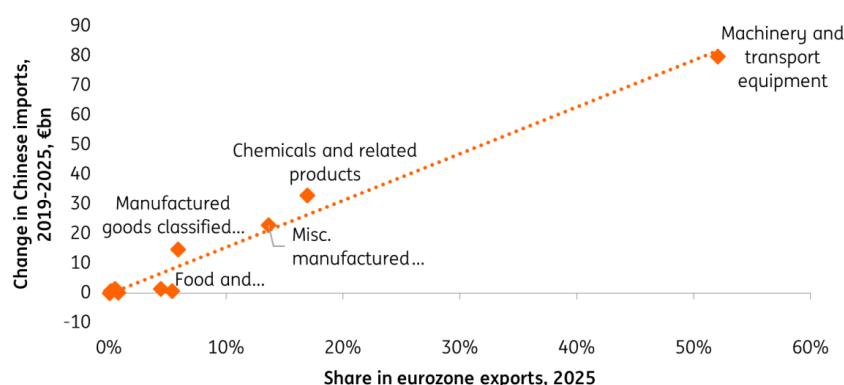
The eurozone's core export industries now face strong Chinese competition

What makes this more concerning is where the pressure is coming from. China's surge in competitiveness is most apparent in sectors that are the eurozone's core export sectors: machinery, transport equipment, chemicals and pharmaceuticals. These industries together made up almost 70% of total eurozone exports in 2025. Here, higher energy costs have already eroded competitiveness, especially in Germany.

The strain is most visible in machinery and transport equipment, the eurozone's largest export category (50% of exports in 2025). Despite increased exports to the US, Turkey and the UK since 2019, the sector's surplus has shrunk by over €70bn, and much of that deterioration reflects trade with China. The eurozone has moved from being a net exporter of road vehicles to China to a net importer, driven largely by China's dominance in electric vehicles. Imports of electrical machinery from China have also surged, while eurozone exports have barely moved.

Pharmaceuticals have been a bright spot in eurozone trade. Exports in 2025 were over 80% higher than in 2019, particularly to the US, which were over 150% higher. Imports have increased too but remain lower in value terms overall. Even here, however, Chinese competition is gaining ground. The share of eurozone pharmaceutical imports coming from China has more than doubled from 3% to 8%. Concerns are more pronounced in the chemical sector. Here, the share of eurozone imports of organic chemicals from China surged from 14% to 30% between 2019 and 2025. With the domestic sector suffering from high energy prices, Chinese competition is becoming a structural threat.

Eurozone imports from China are rising in sectors critical to exports



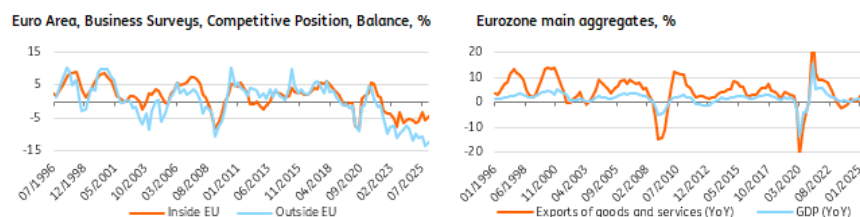
Comext, ING Research

This contributes to a weakening of export growth and downbeat exporters

The mood among eurozone exporters has therefore soured in recent years. With increased competition in the global market, the eurozone export growth model has become harder to sustain. This is not a phenomenon specific to 2025, but a trend that has been building for some time. Businesses' perceptions of competitiveness inside and outside the eurozone have historically moved in tandem over time, but have seen a clear decoupling since 2022. While firms were already negative about their competitive position within the eurozone, perceptions of competitiveness outside the eurozone have since fallen to all-time lows.

This weakening is also visible in the gross export data. Since 1996, exports have typically outpaced GDP growth during expansions but have also contracted more sharply during downturns. So it is striking that in the current period of expansion, export growth has failed to outpace GDP growth. This suggests that the contribution of exports to overall growth has been steadily diminishing.

The more competitive global environment is translating into weaker eurozone competitiveness



Eurostat, ING Research

Expect a more volatile trade balance with a structurally lower surplus for goods

The benign days of the 2010s, from which the eurozone has profited so much, are over. The rockier 2020s are not beneficial for a trade bloc reliant on others for key inputs and facing more fierce competition.

Looking ahead, the eurozone's goods trade story goes beyond the short-term dynamics. Energy shocks and tariffs can have transitory impacts on the trade balance. Trade deals with other countries – think of Mercosur, India and Australia – can increase trade flows but with an uncertain impact on the trade balance.

Also, the trade surplus is feeling pressure from the import side. Stronger domestic demand, fuelled by fiscal stimulus, is widely expected to modestly add to growth. This mainly comes from increasing defence spending, which will heavily rely on imports (at least in the early years of increased spending).

But the bigger structural risk is stronger competition from China, which has intensified this decade and is still resulting in increased imports from the eurozone and more limited export opportunities for the eurozone's largest export sectors. Unless the eurozone regains competitiveness in its core industries, which is not easy to achieve, the days of a strong goods trade surplus supporting economic growth could well be over. While stronger domestic demand can be positive, this seems to be driven more by weakness than strength.

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The Commodities Feed: Oil moves higher as peace talks look shaky

The oil market is repricing expectations with little sign of progress in finding a resolution in the Persian Gulf



Energy- Resolution hopes fade

Hopes for a resolution between the US and Iran are fading as peace talks stall. In addition, Iran's seizure of two vessels attempting to transit the Strait of Hormuz suggests disruptions to shipments are set to continue. The market is having to reprice expectations. This saw Brent break convincingly back above \$100/bbl. As hopes fade, the reality of the supply disruption will set in, leaving further upside for prices. If no progress is made, the market will become increasingly numb to the noise and headlines that have dictated price action recently.

Meanwhile, we continue to see growing demand destruction in the oil market, a trend that will intensify as Persian Gulf supply disruptions persist. Airlines continue to announce flight cancellations amid a tightening in jet fuel supply and significant price strength. Europe's jet fuel market is heavily exposed to developments in the Middle East. The region sources the majority of its jet fuel imports from the Persian Gulf. There is a push for Europe to look elsewhere for alternative supplies, while also relying heavily on inventory. Jet fuel inventory in the ARA region has been declining rapidly in recent weeks, reaching its lowest levels since the Covid era.

Meanwhile, Energy Information Administration data continue to show that the US is exporting record amounts of oil and refined products, as buyers around the globe seek alternative supplies. Total oil and refined product exports over the last reporting week increased by 137k b/d to 12.88m b/d. The recent increase in exports has been driven predominantly by refined products, with flows

rising by 564k b/d week-on-week to break above 8m b/d for the first time. Although the US market has been relatively shielded from Middle East supply disruptions, prolonged instability tightens conditions as global buyers increasingly turn to US supplies.

US commercial crude oil inventories increased by 1.93m barrels over the last week. After taking into account SPR releases, total crude oil inventories fell by 2.21m barrels. Given stronger refined product exports, gasoline and distillate fuel oil stocks fell by 4.57m barrels and 3.43m barrels, respectively. Meanwhile, implied demand for refined products came under pressure over the last week, falling by 1.07m b/d WoW. The move was dominated by a decline in fuel oil and propane demand.

In gas markets, investment funds continued to reduce their net long in TTF over the last reporting week on the back of hopes of a resolution in the Middle East. Funds sold 11.5TWh over the week, leaving them with a net long of 260.2TWh. However, with hopes of a quick resolution fading, this fund selling is likely to ease.

Metals – Cautious optimism, but risks remain

Copper and aluminium edged higher yesterday after US President Donald Trump extended the Iran ceasefire indefinitely, reducing near-term geopolitical risk. However, the Strait of Hormuz remains closed, with Tehran signalling it will not reopen the route while the US blockade persists.

Signals across the metals complex remain mixed. Demand is still under pressure as elevated energy costs weigh on global growth. Aluminium has found support from supply disruptions in the Middle East, which accounts for around 9% of global output. Copper supply faces growing risks, amid potential sulphuric acid shortages due to shipping disruptions and China's planned export suspension from May.

In other base metals, nickel fundamentals are getting tighter. The International Nickel Study Group estimates the market will swing to a 32kt deficit in 2026, from a surplus of 283kt in 2025, reflecting Indonesia's production quotas and broader fallout from Middle East disruptions. Global output is forecast to fall 4.3% year-on-year to 3.72mt in 2026, while consumption is seen rising to 3.75mt, from 3.6mt this year.

In precious metals, gold and silver rebounded after two sessions of losses, supported by a weaker dollar and easing geopolitical tensions. Gold ETF flows have turned positive over the past three weeks. This points to renewed investor interest following the March sell-off. Holdings rose by 10koz on 21 April, marking a sixth consecutive daily inflow and lifting total holdings to 99.3 moz.

Agriculture– Coffee supported by geopolitical risks and tight inventories

Arabica coffee futures rose sharply yesterday. It gained almost 5%, amid persistent Middle East tensions that continue to threaten logistics costs, while exchange monitored inventories remain tight. Although the ceasefire has been extended, there is little indication that the Strait of Hormuz will reopen, keeping freight risks elevated. Prices also remain highly exposed to fuel costs, given the long inland transport routes from farms to export ports. ICE monitored US port inventories fell for a fifth consecutive session to 518.5k bags as of 21 April. This is reinforcing supply concerns. While Brazil's upcoming arabica harvest next month may ease availability, near term export flows remain constrained by lower stocks and a firmer Brazilian real.

Russia has extended its fertiliser export quota to 20mt for the June–November 2026 period, amid tightening global supply linked to the Iran conflict and shipping disruptions in the Strait of Hormuz. The revised cap includes 8.7mt of nitrogen fertilisers, over 4.2mt of ammonium nitrate, and roughly 7mt of complex fertilisers. As the world's second largest fertiliser producer, supplying around 20% of global trade, Russia continues to prioritise domestic needs following an existing 18.7mt quota in place through end May.

The effective closure of the Strait has restricted roughly one third of global seaborne fertiliser flows, intensifying concerns over food security. While importers seek alternative sources, export restrictions from major producers, including China and Russia, have further tightened availability and driven prices sharply higher. India, the world's largest urea importer, has been forced to pay significant premiums, agreeing to purchases at prices nearly 90% above its previous tender levels.

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Rates Spark: Swap lines imply some pressure

We're in an uncomfortable place on the war. But clearly not uncomfortable enough for risk assets. Bonds are a tad more concerned, but not madly so. Talk of Gulf and Asian centres calling for dollars through swap lines points to potential issues, although not showing up so far in the dollar premium in the cross-currency market



Oil prices and bond yields continue to drift higher on a lack of a resolution to the US-Iran tensions

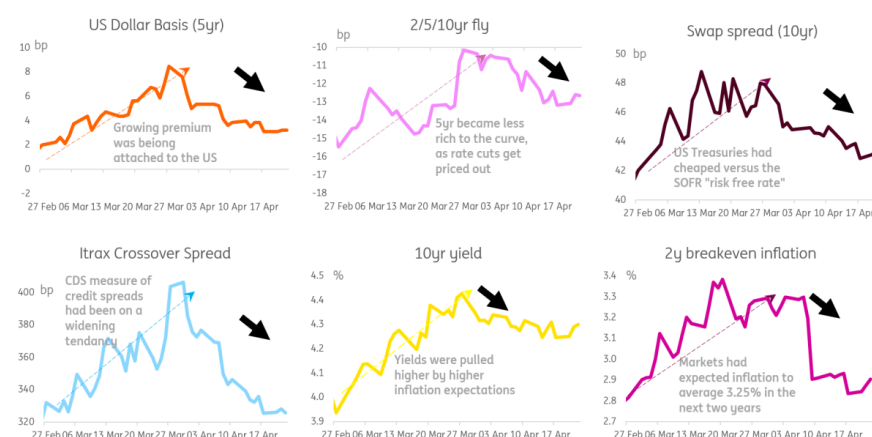
There are more pressures, but they are only mild

The market discount through to the end of March centred on the freezing of the Strait of Hormuz as critical. Fast-forward to this week, and equity markets impliedly think it's not that critical after all. The oil price, of course, has come under renewed upwards pressure, but only to the extent that it's the correct reaction to the ongoing closure of the Strait, and the threat from Iran not to negotiate until the US blockade is removed. And bond yields too have shown a tendency to edge higher, in tandem with a re-ratchet higher in front-end inflation expectations (albeit mild). We continue to find ourselves in an uncomfortable holding ground, as we await the US and Iran to come to some semblance of agreement. And an agreement of sorts remains the most likely outcome. If not, and things turn materially worse (not our base view), everything sells off (risk assets and bonds), apart from energy prices and volatility.

Our models continue to point to a dominant rate cut outcome in the quarters ahead, and that's not discounting front-end pricing. A worsening in the war narrative presents the biggest risk to this trade, as the higher inflation outcome would make rate cuts more difficult to deliver, at least in the immediate few months. We still think the war is in a wind-down phase, albeit uncomfortable. But even if the Iran war ended today and the Strait reopened instantaneously (still a stretch), we are left with significant price pressure that has yet to filter through. And it's not just the wider energy price complex, it's also the likes of fertiliser, which risk adding to food prices in subsequent months down the line.

Big picture, the US 2/10yr curve remains remarkably flat. Especially considering we are (eventually) nearing the tail end of a rate-cutting process. That aside, we identify room for short tenor rates to fall and for long tenor rates to remain under sticky upward pressure (at least in the coming month or so). If we are correct, and there is an eventual rebuild in the rate-cut narrative in the coming month, that typically coincides with a richening of the 5yr part of the curve (can trade further through an interpolated line between the 2yr and 10yr rates). We should see some relative flattening on the 2/5yr segment, but more relative steepening on the 5/10yr (while the overall 2/10yr curve comes under steepening pressure).

The dashboard of pain has eased considerably



Source: Macrobond, ING Estimates

Swap lines could be opened all the same

In the background, most of the pressure that we identified in previous weeks has ratcheted lower (chart above). That includes the USD cross currency basis premium, which typically would be a signal of funding pressures. Despite this, Treasury Secretary Bessent has confirmed that some Gulf and Asian centres have shown an interest in getting access to dollars through a swap line. This indicates that there is at the very least a need for dollars, and it's likely a preventative measure, rather than reflecting a front-and-centre problem. It shows that access to dollars remains an ongoing thing for the global system, no doubt amplified by higher energy prices (denominated in dollars). Basically, these operate like a cross-currency swap, on a fixed exchange rate and an agreed interest rate. And the US *will* provide these were needed, to avoid dollar funding issues.

Thursday's events and market views

From a data perspective, PMIs will be the highlight, with consensus seeing the eurozone composite index dip from 50.7 to 50.1, so just about in growth territory. The UK composite

index is expected to nudge below 50, however, to 49.8. From the US, we have weekly jobless claims numbers, which are seen to move slightly higher.

In terms of supply, we have the US auction 5Y TIPS for a total of \$26bn.

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Bank Indonesia holds rates, prioritises rupiah stability

Bank Indonesia kept its policy rate unchanged at 4.75% in line with expectations. With fuel subsidies continuing to contain inflation, BI struck a largely neutral tone, while seeking to limit downside risks to the currency by emphasising that the rupiah is undervalued and reaffirming its commitment to ongoing intervention to support it



Bank Indonesia has opted to keep policy rates unchanged at 4.75%

Bank Indonesia keeps policy rate unchanged

Bank Indonesia left its policy rate unchanged at 4.75%, in line with expectations, underscoring its priority for maintaining currency stability. The rupiah remains under pressure amid concerns around fiscal sustainability and MSCI related uncertainty – risks that are unlikely to dissipate in the near term. Earlier this week, MSCI delayed Indonesia's market status review and warned that it could remove major Indonesian stocks with tightly held ownership structures from its indices, adding to investor caution.

Policy to remain on hold; no hawkish pivot yet

Fuel subsidies have so far helped cap inflationary pressures, reducing the need for a hawkish policy response. As a result, BI is likely to rely on non rate tools to manage rupiah stability. While we

expect CPI to rise to around 3.5% in the coming months, this remains well below the 2022 peak of around 5% that triggered aggressive tightening. BI also remains comfortable with inflation as it expects it to remain within the target of 1.5-3.5%. With growth weakening, the central bank is unlikely to hike and is expected to stay on hold into 2026, limiting monetary support for the currency.

As such, we continue to expect policy rates to remain unchanged through the third quarter this year, with softening growth potentially opening the door to rate cuts rather than hikes by year end.

Further weakness in the rupiah likely

Despite manageable subsidies, a renewed oil price surge above US\$100/bbl could quickly widen fiscal risks, intensify bond outflows, and add pressure on the rupiah in our base case risk scenario. External balances remain a key constraint: low oil reserves, limited FX buffers, a wider current account deficit, and seasonal dividend outflows are likely to keep the IDR trading on the weaker side, leaving BI with limited room to defend the currency through intervention.

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ECB to stay on hold next week, stressing full optionality

We expect the European Central Bank to keep rates on hold next week, but see an 'insurance' hike at the June meeting



ECB President, Christine Lagarde speaking in Berlin on Monday

The IMF Spring Meetings last week were the traditional outlet for ECB comments. There was hardly an ECB official who didn't have something to say on what could be next for the European Central Bank. In sum, these comments sent two important signals:

- There is no case for an April rate hike, and
- Optionality is back on the table, ranging from “a cut could be needed if the economy moves toward recession” to “market bets on two rate hikes not unreasonable”.

If the ECB still needs communication advice for next week, it should rewatch some Hollywood action-hero movies.

Why 2026 is not 2022 - or is it?

With the ongoing war in the Middle East, higher energy prices and elevated uncertainty, it's obvious that the ECB's famous 'good place' is no more. Instead, the Bank is back in crisis mode, shifting its focus from longer-term projections to actual developments and back to a “driving at

sight” approach. Key variables to watch are actual inflation data, survey based longer term inflation expectations, and wage developments, all of which will be weighed against the risk of slowing economic activity and financial stability concerns.

The only problem is that hardly any of this data will be available before next week’s meeting. Looking at the calendar, there will be another batch of sentiment indicators, a handful of April country inflation releases, and initial estimates of first quarter GDP on the day of the meeting. In all honesty, that does not look sufficient to move the needle, unless the ghosts of 2022 are keeping policymakers awake at night.

What are these ghosts? It’s the spectre of the narrative that the ECB was too late in responding to the 2022 inflation shock and will therefore act more preemptively right now. However, back in 2022, the global economy was emerging from lockdown with healthy balance sheets and an almost unstoppable consumer appetite to go out and spend – the perfect breeding ground for fast-spreading inflation. This time, the inflationary impact of an energy price crisis is likely to be more muted, as consumers will be far more reluctant to open their wallets. You can already see that reluctance in reported willingness-to-spend indicators, which are currently well below 2022 levels. At the same time, the hit to economic activity could be sharper than in 2022, as illustrated by the decline in sentiment indicators.

What is also different is that back in 2022, the ECB was emerging from an extremely accommodative stance and normalising policy from negative interest rates and quantitative easing. With hindsight, the biggest policy mistake was probably the delayed response to an energy price shock that ultimately morphed into a broader inflation surge. This time around, higher bond yields and dropping excess liquidity are already part of a more restrictive monetary policy stance, and the policy rate is at neutral, not accommodative. A very different (and better) starting position than in 2022.

On hold next week but insurance hike at the June meeting

Looking beyond the April meeting, we think the ECB – like us – is expecting an initial inflation wave, starting with gasoline prices, followed by knock-on effects on transportation costs, food prices and other industrial products. As long as this remains a single, time limited wave, there is no need for ECB rate hikes.

That said, three potential pain points remain for the ECB:

A psychological one: Headline inflation above 4%, reviving uncomfortable memories of 2022;

An analytical one: Core inflation above 3%, signalling broader price pressures; and

A credibility one: A surge in survey based inflation expectations which would make inaction increasingly difficult to justify.

The longer the Strait of Hormuz blockade lasts, the greater the likelihood that some of these pain points will be hit. This is why we now see the ECB announcing at least one insurance rate hike, following the tradition of insurance cuts. Some would go so far as to call it a policy mistake.

All in all, we expect the ECB to stay on hold next week and to stress full optionality. The ECB shouldn’t be in any rush or panic to hike rates but will definitely want to come across as fully determined to act if needed. How to do this best? Just rewatch some Hollywood action movies.

The most determined and fearsome action heroes are those talking the least. It's the wrong accent but a simple 'I'll be back' would do.

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Energy shock 2.0 – who breaks, who bends in Central and Eastern Europe

The oil shock that began in March isn't just another commodity move; it's a macro stress test at a difficult time for the CEE region, when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow



How the CEE region copes with surging energy prices is not merely a function of oil imports, but of the institutional shock absorbers available to manage the blow

The 2026 energy shock has hit the CEE3 (the Czech Republic, Poland and Hungary) and Turkey at precisely the wrong moment. Disinflation has only just been restored, growth remains fragile, fiscal room is thin, and central banks were just preparing to ease. This makes the new oil shock less a replay of 2022 than a genuine policy stress test – one that will separate economies with credible institutions and strategic buffers from those still relying on short-term fixes.

In a broader sense, this energy shock is a stress test that Europe may fail by default. Handled nationally, it can lock in a two-speed Europe – a sheltered core cushioned by fiscal space and EU risk sharing, and a periphery condemned to adjustment, weaker growth, and stalled convergence. That outcome would not be an accident, but a policy choice. The alternative is uncomfortable but clear: deeper integration or deeper divergence. Europe either uses this shock to mutualise risk and modernise its energy base, or accepts fragmentation as the price of incrementalism.

- **This is not mainly an energy-dependence story; it's a policy-capacity story:** what matters most is not who imports the most oil or gas, but who still has the institutional strength, fiscal space, monetary credibility, and external support to absorb the shock without derailing recovery.
- **The main macro risk is demand destruction, not a classic overheating cycle:** higher energy prices now function as a tax on already fragile economies, squeezing households, weakening margins, and forcing central banks into an uncomfortable trade-off between protecting growth and defending credibility.
- **Resilience across the region is highly uneven:** the Czech Republic looks best placed to bend without breaking; Poland still has growth but little fiscal room; Hungary is the most complicated CEE case given its structural exposure; and Turkey remains the most vulnerable because energy sensitivity, FX pass-through, and limited external backstops all collide at once.
- **The countries that emerge stronger will be those treating energy policy as industrial policy:** the 2022 subsidy playbook is largely exhausted. The real differentiator is now whether governments use EU instruments and public investment to build energy resilience – grids, renewables, efficiency, infrastructure – or fall back on blunt support measures that protect consumption today but erode competitiveness tomorrow.

The timing could hardly be worse

The de facto closure of the Strait of Hormuz to most non Iranian shipping since 28 February has stripped out a large share of global crude and LNG supply at a moment of already fragile demand. ICE Brent prices quickly climbed toward levels that European policymakers had previously treated only as tail risk scenarios, and, despite extensive mitigation efforts including the rerouting of shipments, the release of sanctioned oil onto the market, and coordinated drawdowns from strategic petroleum reserves, the global economy is still operating with a significant net loss of oil supply. According to [our estimates](#), even after accounting for pipeline diversions, alternative shipping routes, and emergency stock releases, around 13 million barrels per day of oil supply remain effectively disrupted.

For Central and Eastern Europe and Turkey, which sit at the geographic and economic crossroads of this shock, the impact is real and immediate. The region spent 2024 and most of 2025 restoring disinflation, stabilising external balances, and rebuilding room for monetary easing. The question now is whether those gains can withstand a renewed cost push surge. Some countries are better positioned than others. The critical differences extend beyond energy exposure. Institutional strength, fiscal space, and access to EU financial instruments – such as Security Action for Europe (SAFE) and the Recovery and Resilience Facility (RRF) – will shape how effectively each economy can absorb and offset the blow.

A different shock in a different world

A useful way to understand the 2026 energy shock is through comparison with 2022. That earlier

episode was, in essence, a supply shock landing on a booming economy. Post-pandemic demand was surging, households were running down accumulated savings, labour markets were tightening, and firms found it relatively easy to pass costs through. Central banks reacted late, allowing inflation expectations to drift, most starkly in Hungary and Turkey. The result was a multi-year inflation overshoot, prolonged monetary tightening, and a serious real income squeeze.

The world of early 2026 looks structurally different. The supply disruption in the Middle East is, if anything, sharper in its initial price impulse. But the demand backdrop could hardly be of greater contrast. German industrial output – the anchor of CEE manufacturing exports – has been flat for nearly two years. Real disposable income growth in the region has slowed from its 2024 peak. Labour markets, while still tight in Poland and the Czech Republic, are no longer in a state of broad overheating. And consumer confidence was already subdued heading into April 2026.

This combination of a cost-push shock hitting weak demand creates a fundamentally more complex macro challenge than in 2022. Back then, rising energy prices were partly absorbed by strong nominal income growth, and central banks eventually had a clear mandate to tighten. Now, the same type of shock acts as a regressive tax in a fragile momentum, risks stalling the recovery, and leaves central banks torn between the old disinflation agenda and the new price threat. We are not in a price-wage spiral scenario; we are in a demand-destruction scenario, and policy has no clean instruments.

The non-linearity in price pass-through is also likely underappreciated. In low-inflation environments, energy price impulses can partly be absorbed within firm margins when demand is weak. But once headline inflation crosses certain thresholds or maintains sufficient stickiness, pass-through becomes disproportionately stronger and expectations de-anchor more easily. The economies most at risk are those already operating close to or above those pain thresholds when the shock arrived.

The structural burden of energy intensity and exposure

Understanding the regional impact of the shock starts with a basic structural fact: CEE and Turkey remain more energy intensive than Western Europe. Eurostat's 2024 data shows that, while the EU reduced the energy intensity of GDP by roughly one quarter between 2014 and 2024, most CEE economies sit above the EU average – some by a wide margin – meaning any rise in energy prices exerts a proportionally heavier drag on growth.

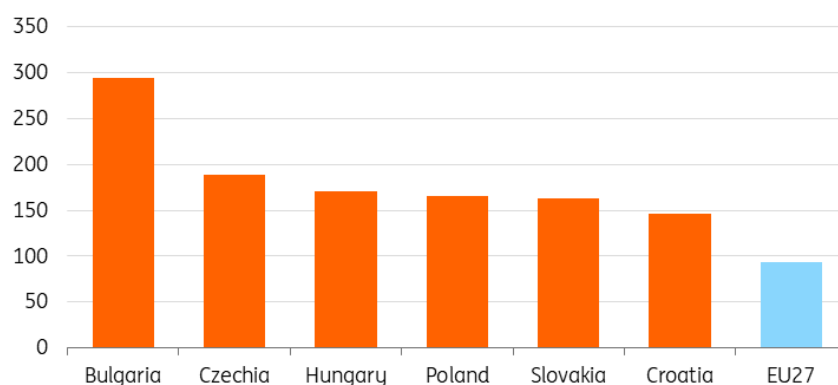
The composition of that exposure matters as much as the level. Poland and the Czech Republic carry heavier exposure to coal and carbon pricing under the EU Emissions Trading System – both have spent close to 1% of GDP annually on emission allowances, a structural cost that sits directly on their external accounts and industrial competitiveness. The forthcoming ETS2 expansion to buildings and road transport fuels in 2027 will add another layer to this burden, converging with the Hormuz shock if energy prices remain elevated.

Hungary is more exposed through the natural gas channel, with vulnerabilities tied to LNG availability. It's a textbook case: heavy net gas imports, gas intensive industrial production, and electricity prices tied to the marginal cost of gas fired generation.

Turkey's exposure is broader still. As a net hydrocarbon importer with an annual net energy bill standing at US\$47 billion in 2025, it depends simultaneously on oil, gas, and coal, compounded by rapid FX pass through into domestic prices if the central bank allows a rapid pace of exchange rate

depreciation.

Figure 1: Energy intensity of GDP (kilograms of oil equivalent per thousand euro)



Source: Eurostat

The industrial structure further complicates the impact. Manufacturing accounts for a larger share of GDP in CEE than in Western Europe, so the shock hits hardest in a segment that has already acted as a drag on growth for two years. Energy-intensive firms in metals, chemicals, and transport equipment are financially constrained and may begin cutting investment, setting up competitiveness losses that persist well beyond the commodity shock itself.

These structural features produce different macro sensitivities across the region. Our calibration, drawing mostly on central bank assessments and our own analysis, suggests the order-of-magnitude impact shown in Table 2. These figures represent first-year effects under broadly unchanged volumes and should be interpreted as indicative rather than model-precise; they likely underestimate the shock if gas prices rise alongside oil.

Figure 2: Estimated macro sensitivity to a 10% increase in oil prices

Economy	CPI impact (pp)	Real GDP impact (pp)	Current account (% of GDP)
Poland	0.30	-0.15	-0.15
Czech Republic	0.20	-0.10	-0.10
Hungary	0.35	-0.10	-0.15
Turkey	0.70	-0.30	-0.20

Source: ING

Note: cumulative 12-month impacts under constant-volume assumption; Turkish coefficient reflects additional FX pass-through channel

At current trajectories – with oil not far from US\$100/bbl for an extended period – the mechanical hit to 2026 inflation could be around 1.0ppt higher than our pre-shock baselines for the CEE3, and materially more for Turkey. Current account balances could see meaningful deterioration as well, most acutely in Hungary and Turkey.

The starting grid: Who was where when the shock landed

Sensitivity coefficients are only part of the picture. Equally important is each economy's starting position, because the same external shock can produce very different domestic outcomes depending on fiscal space, monetary flexibility, and cyclical momentum.

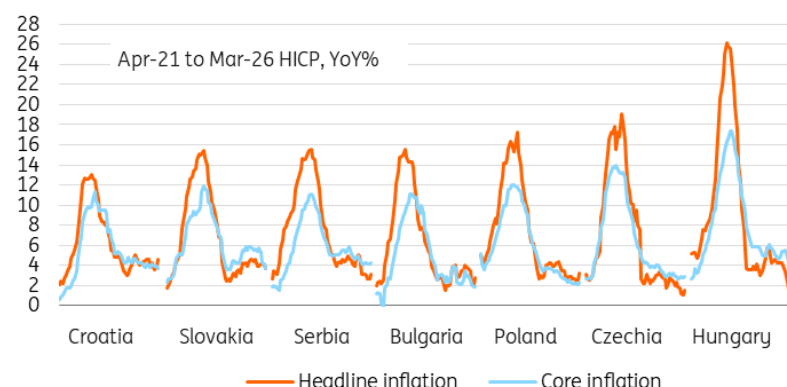
Poland enters the shock from the strongest cyclical position among the CEE3. GDP grew 3.6% in 2025, the services sector is performing well, and consumption has been resilient. But its fiscal position is arguably the weakest in the group; the budget deficit may near 7.0% of GDP in 2026, and public debt is on track to exceed 60%. The easing cycle that resumed in September 2025 is now directly challenged. Surging fuel prices have jeopardised the low-inflation trajectory, additional monetary easing is off the table, and broad energy price shielding – used heavily in the previous cycle – cannot be repeated without meaningfully worsening a deficit already attracting rating agency attention.

The Czech Republic is the regional benchmark for stability. With the policy rate at 3.50% and inflation largely back at target, the Czech National Bank (CNB) was flagging potential hikes in 2027 before the shock arrived. Czech exports are finding new customers in the US, the Middle East, and Asia. The labour market is tightening again, and the external balance is in surplus. For Czechia, the energy shock is a headwind, not a regime shift.

Hungary arguably presents the most complicated pre-shock backdrop. It enters 2026 after three years of real GDP stagnation: investment has fallen, business confidence remained subdued, and inflation was sticky until late 2025 despite the weak economy. Monetary policy stayed cautious to keep the forint attractive and anchor expectations. With inflation hitting a 10-year low in February 2026, Hungary was finally on the verge of reaping the benefits of disinflation and a rate cut was implemented shortly before the Middle East conflict erupted. The shock, therefore, hits at the most optimal inflation moment – but unresolved energy intensity, import reliance, and the risk of delayed economic acceleration complicate the picture considerably.

Turkey presents a unique profile. Its sensitivity to energy price movements is high, and its external position is more exposed than the CEE economies, which benefit from EU-based institutional support. The central bank's disinflation efforts have been notable, and gross reserves reached record levels in late 2025. But the current account deficit has begun widening again, the lira remains under a tight central bank grip amid foreign outflows, and the interplay between energy prices and currency dynamics warrants close monitoring. As a result, Turkey may experience a more pronounced response to the current shock – both in terms of macroeconomic impact and the policy challenges it presents.

Figure 3: Inflation comparison across the region in the previous energy shock



Source: Eurostat

What policy can and cannot do

Monetary policy across the region has been caught in mid-transition. Central banks that were edging toward easing now face an uncomfortable reversal. The National Bank of Poland (NBP) has halted cuts; the CNB is on hold with a tightening bias; the National Bank of Hungary (NBH) remains restrictive to protect the forint. The European Central Bank (ECB) held rates but raised its 2026 inflation forecast and cut its growth, both explicitly linked to the energy shock.

The Turkish central bank has moved quickly, providing FX supply to the system, tightening Turkish lira liquidity that could flow to FX, and raising the effective cost of funding by 300bp to 40% to shift away from its easing bias.

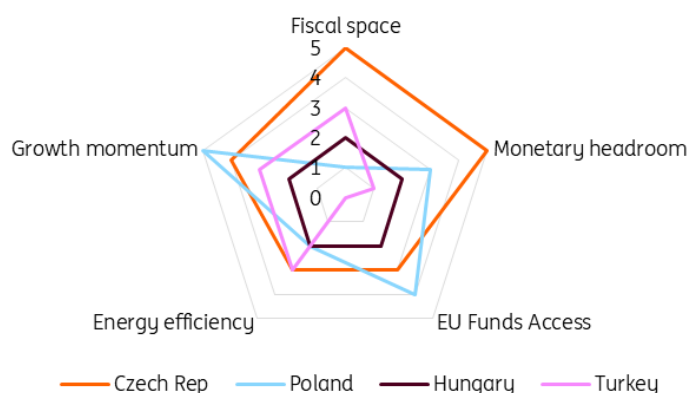
The textbook reaction to a supply shock is to look through the first round price impulse, act only if second round effects materialise, and avoid choking an already weak economy with unnecessary tightening. In 2022, estimates of the transitory nature of the shock proved too optimistic. In 2026, central banks are understandably on high alert to avoid repeating that mistake. The bias is towards caution rather than aggressive tightening, but easing is largely off the table for most of 2026, especially under stress scenarios.

On the fiscal side, the 2026 story diverges most sharply from 2022. In the earlier crisis, governments deployed broad household energy price shields at substantial fiscal cost. Those shields bought time but also built up deferred inflationary pressures that materialised when caps were removed. In 2026, the fiscal space for broad price shielding is objectively narrower.

Poland is running a deficit well above the EU reference value. Hungary must protect its debt-to-GDP trajectory. The lesson of 2022 was that blunt tools defer rather than solve the problem. The lesson of 2026 may be that the political temptation to repeat the bluntness remains high even though the tools are no longer viable. In Turkey, fiscal prudence in recent years has provided a buffer, with the government reinstating a sliding-scale tariff that absorbs roughly 75% of the oil price shock at a manageable fiscal cost, helping contain first-round inflationary effects. Even so, upward pressure from oil, gas, transport, and fertiliser prices will likely push inflation above 25% this year.

Figure 4: Policy space and structural buffers

Scores range from 1 (weak) to 5 (strong), where higher values indicate greater policy space or stronger structural buffers



Source: ING

This is where EU instruments become the defining differentiator. Poland has an RRF envelope of roughly €60 billion and is accessing the new SAFE facility for up to €43.7 billion. CEE countries with immediate access to EU funds can substitute some of the fiscal impulse they cannot generate domestically with European co-financing, targeting the energy transition and industrial modernisation rather than consumption subsidies. Hungary is still facing uncertainty regarding the timing of EU funds, so the issue is likely to be solved – but Turkey has no such platform. Its adjustment must be carried entirely domestically, which could mean a larger toll on real incomes and a more acute dilemma between protecting growth and defending the currency.

From price shock to policy paths – scenario implications

To anchor the discussion, Figure 5 translates the energy shock into a set of consistent macro policy scenarios. Starting from a common baseline, scenarios 2 and 3 illustrate progressively persistent energy price disruptions and the macro trade offs that they force. The message is not precision but asymmetry: higher and more volatile oil and gas prices produce non-linear inflation responses, quickly crowd out growth, and compress monetary space, especially in economies where buffers are already thin.

Figure 5: Energy price scenarios and macro policy implications

		1Q26	2Q26	3Q26	4Q26	FY26	1Q27	2Q27	3Q27	4Q27	FY27
Brent (US\$/bbl)	Baseline	78	96	93	88	89	82	79	75	72	77
	Scenario 2	78	110	102	100	98	93	89	84	80	87
	Scenario 3	78	135	150	120	121	105	100	94	90	97
TTF forecast (EUR/MWh)	Baseline	40	55	45	45	46	40	33	31	32	34
	Scenario 2	40	74	60	60	59	54	46	43	43	47
	Scenario 3	40	90	75	80	71	71	60	56	55	61
Poland	GDP (%YoY)	3.1	3.4	3.6	3.5	3.4	3.6	3.4	3.0	2.9	3.2
	Scenario 2	3.1	3.4	3.5	3.4	3.3	3.5	3.4	3.0	3.0	3.3
	Scenario 3	3.1	2.6	2.3	2.7	2.7	2.8	3.1	3.2	3.2	3.1
	CPI (%YoY)	2.4	3.6	3.9	4.2	3.5	3.8	2.9	2.5	2.4	2.9
	Scenario 2	2.4	4.0	4.3	4.7	3.9	4.2	3.0	2.6	2.4	3.1
	Scenario 3	2.4	4.7	6.5	6.4	5.0	6.1	4.1	1.9	2.1	3.5
	Policy rate (%)	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
	Scenario 2	3.75	3.75	3.75	4.25	4.25	4.25	4.00	3.75	3.75	3.75
	Scenario 3	3.75	4.50	5.50	5.50	5.50	5.50	5.25	4.75	4.25	4.25
Czech Republic	GDP (%YoY)	2.4	2.3	2.1	2.0	2.2	2.1	2.3	2.4	2.5	2.3
	Scenario 2	2.4	2.2	1.6	1.2	1.9	1.0	1.5	2.0	2.4	1.7
	Scenario 3	2.4	1.8	1.0	0.5	1.4	0.5	0.9	1.4	1.8	1.2
	CPI (%YoY)	1.6	2.5	2.3	2.8	2.3	3.3	2.5	2.5	2.4	2.7
	Scenario 2	1.6	2.7	2.8	3.7	2.7	4.4	3.1	2.4	1.9	3.0
	Scenario 3	1.6	3.5	3.8	4.7	3.4	4.9	3.6	2.9	2.4	3.5
	Policy rate (%)	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
	Scenario 2	3.50	3.50	3.50	3.75	3.75	3.75	3.75	3.50	3.50	3.50
	Scenario 3	3.50	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75	3.75
Hungary	GDP (%YoY)	1.6	1.3	1.6	2.1	1.6	1.4	2.7	2.7	3.2	2.5
	Scenario 2	1.6	1.1	1.3	1.7	1.4	1.0	2.3	2.3	2.9	2.1
	Scenario 3	1.6	0.8	0.5	0.6	0.9	-0.3	1.1	1.4	2.2	1.1
	CPI (%YoY)	1.8	3.5	4.1	4.3	3.4	4.2	4.0	3.5	3.1	3.7
	Scenario 2	1.8	4.0	4.7	4.8	4.2	4.7	4.5	3.9	3.4	4.1
	Scenario 3	1.8	4.6	6.3	5.8	5.2	5.0	4.6	4.0	3.6	4.3
	Policy rate (%)	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.00	5.00
	Scenario 2	6.25	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.75
	Scenario 3	6.25	6.25	6.75	6.75	6.75	6.75	6.75	6.50	5.75	5.75
Turkey	GDP (%YoY)	3.5	3.2	2.8	2.6	3.0	2.9	3.9	4.1	5.0	4.0
	Scenario 2	3.5	3.0	2.5	2.3	2.6	2.7	3.6	3.7	4.7	3.6
	Scenario 3	3.5	2.6	1.8	1.5	1.6	2.6	3.4	3.4	4.4	3.1
	CPI (%YoY)	30.9	30.8	28.2	27.5	29.6	23.9	21.2	19.6	18.9	21.2
	Scenario 2	30.9	32.0	29.1	28.7	30.2	25.0	22.3	20.6	19.8	21.9
	Scenario 3	30.9	34.2	33.8	30.6	32.4	26.3	23.5	21.7	21.0	23.1
	Policy rate (%)	37.00	37.00	35.00	33.00	33.00	30.00	27.00	25.00	23.00	23.00
	Scenario 2	37.00	38.50	37.00	35.00	35.00	31.50	28.50	26.50	24.50	24.50
	Scenario 3	37.00	41.00	43.00	38.00	38.00	33.00	30.00	28.00	26.00	26.00

Source: ING

The case for shorter, smarter supply chains

Every energy shock produces an industrial policy argument. The 2026 shock makes one that is unusually compelling for CEE. Nearshoring and friendshoring were already gaining traction after the pandemic. The Hormuz disruption has added an acute logistical shock on top of the strategic arguments: the era of just-in-time globalisation, built on cheap and dependable long-distance shipping, might be over.

CEE is structurally well-placed to benefit from this reallocation. The region combines strategic geography, improved infrastructure, and a large pool of technically skilled workers. Poland and Czechia have established themselves as high-value logistics and manufacturing hubs. Hungary has leveraged its dense and well connected motorway network to strengthen its role as a regional transport and manufacturing corridor. Crucially, this physical and human capital base is being reinforced by a broader “working smart” agenda of capital deepening and automation – this was outlined in our [October 2025 edition](#) and is consistent with the nearshoring dynamics identified in our [Directional Economics](#) analysis of CEE manufacturing relocation, making the region an increasingly credible destination for the technology intensive investment that Western

multinationals are reshoring.

But the energy shock of 2026 adds a sharper argument: reshoring investment goes to locations that guarantee affordable and reliable energy, not just skilled labour. Persistently high and volatile prices erode competitiveness and offset locational advantage. Regions that respond by accelerating renewable permitting, grid build-out, and energy efficiency investment will capture the next reshoring wave. Those responding with ad hoc price controls and fiscal drift may find the shock has corroded the very advantages they sought to protect. This is also why the linkage between EU funds (RRF, SAFE, Cohesion) and energy system transition matters so much; used well, these instruments are not subsidies for consumption but supply-side investments that permanently reduce the economy's sensitivity to the next oil price spike.

Cracks and crossroads – the integration question

Crises tend to expose pre existing structural weaknesses. The 2026 energy shock has intensified a debate about Europe's economic architecture. One scenario is a genuinely two speed Europe: a core of countries with fiscal possibilities, institutional quality, and policy credibility that can absorb the shock – that could be Czechia, Poland and the broader northwest – and a periphery left financially strained, politically volatile, and structurally exposed. If EU funds primarily flow to countries most capable of absorbing them, divergence could widen rather than narrow – a risk that mirrors [our previous findings](#) that institutional quality and absorptive capacity, not income level alone, determine whether shocks accelerate or derail convergence.

The alternative is deeper integration. Joint gas purchasing under REPowerEU, SAFE's risk-sharing for defence financing, and the strategic logic of coordinated cross-border energy infrastructure all point towards a more unified European energy market. Every major external shock since the 2010-2012 debt crisis has produced additional European institutional architecture: the Banking Union, the ESM, NGEU, and SAFE. The 2026 energy shock may follow the same pattern.

For the CEE3, the result of this integration debate is crucial. The region's core strengths – proximity to Western markets, manufacturing capacity, and access to the EU single market – are most powerful when EU institutions are most deeply integrated. A two speed Europe that places part of CEE in a secondary tier would undermine the investment story that makes the region attractive. A more integrated Europe that builds shared energy infrastructure and collective transition mechanisms enhances CEE's locational advantage.

EU funds breakdown for CEE sovereigns

Country	Cohesion Funds (2021-27)			RRF Grants (2021-26)			RRF Loans (2021-26)			Total EU Funds		
	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)
Czech Republic	€21.1bn	6.6%	€6.5bn	€8.4bn	2.6%	€6.5bn	€0.8bn	0.3%	€0.2bn	€30.3bn	9.4%	€13.3bn
Hungary	€21.7bn	10.5%	€4.2bn	€6.5bn	3.2%	€0.1bn	€3.9bn	1.9%	€0.8bn	€32.2bn	15.6%	€5.1bn
Poland	€75.5bn	8.9%	€18.0bn	€25.3bn	3.0%	€9.5bn	€34.5bn	4.1%	€17.4bn	€135.3bn	15.9%	€44.9bn
Bulgaria	€10.9bn	10.4%	€2.1bn	€6.2bn	5.9%	€3.3bn	€0.0bn	0.0%	€0.0bn	€17.1bn	16.3%	€5.3bn
Croatia	€8.7bn	10.1%	€2.0bn	€5.8bn	6.7%	€4.9bn	€4.4bn	5.2%	€2.4bn	€18.9bn	22.0%	€9.3bn
Slovakia	€12.6bn	9.7%	€3.1bn	€6.4bn	4.9%	€4.0bn	€0.0bn	0.0%	€0.0bn	€19.0bn	14.6%	€7.1bn

Source: EC, Eurostat, Macrobond, ING

What we make of it

The current oil shock is less a test of geopolitics and more a referendum on policy quality. What separates the countries that emerge from this shock as stronger from those that merely survive it is not geography, not luck, and not the price of oil on any given Tuesday. It is the willingness to treat a crisis as a structural mandate to modernise and increase resilience rather than a temporary inconvenience to be managed into the next electoral cycle. Energy dependence of this magnitude is not a market failure; it is a policy choice, accumulated quietly over decades and now settled loudly in a single quarter. Countries that use EU instruments to invest in supply-side adjustment (renewable capacity, grid infrastructure, energy efficiency) will emerge structurally stronger. Those that reach for the familiar comfort of untargeted budget transfers, banking on markets looking away, are running a different kind of risk.

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Kevin Warsh's Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely



At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that "several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed's balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US\$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He's not been specific about sizes, but said that they should be significantly reduced. And he's identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he's advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US\$4.5tn in bond liquidations. That's unlikely, but we do develop that narrative [here](#). More probable is a targeted sale of the US\$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed's balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed's balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He's not been specific as to what that level should be. The unwritten level today is US\$3tn. That's sitting alongside Fed bond holdings of US\$6.3tn. Simplistically, if the Fed's balance sheet was shrunk by

US\$2tn, bank reserves could be pressured down to around US\$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt.

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THINK Ahead: From 'loads of money' to no cash to splash

Harry Enfield's 'Loadsamoney' mocked 80s yuppie excess; his catchphrase rang out across the UK. Today, there's no cash to splash, and not just in Britain... high household savings ratios will struggle to spare Europe from an energy-led slowdown.

Plus, the confirmation hearing of Fed Chair nominee Kevin Warsh. All to look forward to next week



The cultural phenomenon, 'Loadsamoney', played by Harry Enfield in the 80s

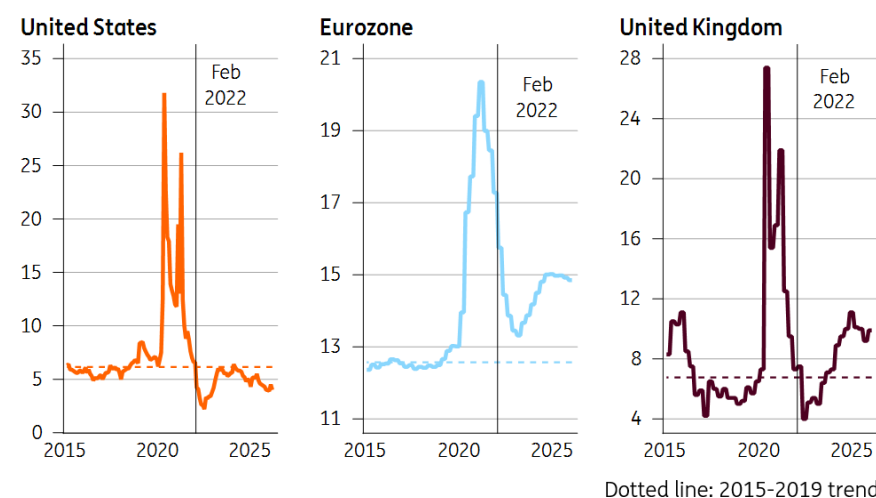
No cash to splash

Plenty of ink has been spilt on how this crisis differs from the 2022 energy shock. And mostly, not in a good way. Cooler job markets, less government stimulus, and tighter monetary policy all make the economy more vulnerable. And that means inflation is less likely to take hold in the long term.

But there's one area that looks more positive: European savings.

The savings ratio - the proportion of income not spent on goods and services - has been consistently above its pre-Covid average. Admittedly, not in the US. But in the eurozone, where this energy shock will be felt more acutely, it's comparable to levels in February 2022. And in the UK, it is considerably higher (or is it? More on that later...).

Household savings ratios are above-average in Europe



Source: Macrobond, ING

That matters because, at face value, it offers households a cushion against higher energy prices. Real incomes are set to fall as inflation heads to 4% and wage growth languishes at 2.5% in the eurozone and 3.5% in the UK. Even if you're an optimist and think wages will rise with prices (we don't!), this will take time. Continental Europe's system of collective bargaining means pay responds with a lag while new settlements are negotiated.

So, if disposable incomes are down, then that savings ratio is going to have to fall if a consumer-led recession is to be prevented. The fact that the savings ratio comes from a higher starting point should offer more scope for that to happen.

And we do indeed expect it to fall, at least temporarily. It's what we saw back in 2022 as households engage in what we economists call "consumption smoothing". Cut savings in the bad times, rebuild them in the good. That might help explain that savings ratio trend over the past few years.

However, I think there are a number of holes in this story:

For starters, are households really going to be willing to part with their cash at a time of such uncertainty, to the extent that saving is a choice? It feels unlikely. My colleague [Peter Vanden Houte](#) points to the March uptick in eurozone unemployment expectations as one reason for caution.

And is the savings ratio really a reliable measure in the first place? I've always been a bit sceptical because frankly, it isn't actually measured at all.

Put simply, it's the gap between a broad definition of income after taxes and household consumption. That sounds sensible enough, until you remember both of those numbers are calculated independently of one another, using different data sources and in complex methods. And because "savings" here is simply a residual between two very large numbers, it is subject to often huge revisions if one or both of those figures are updated.

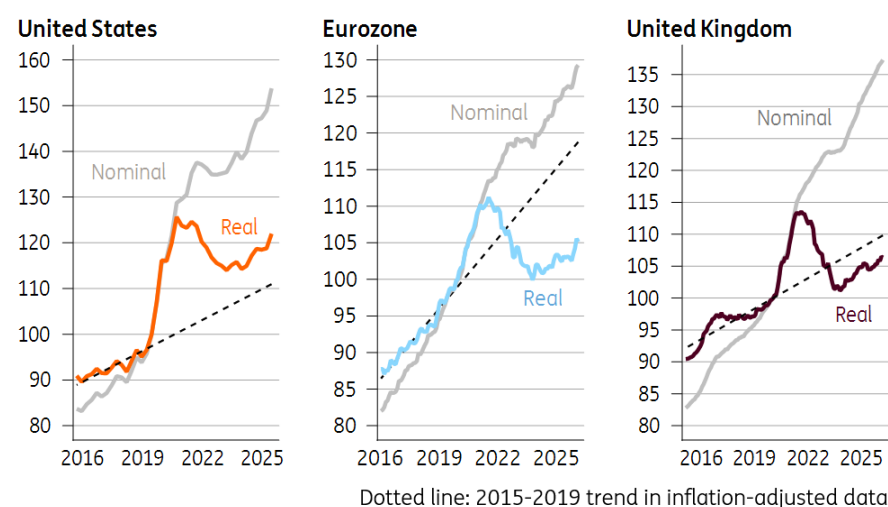
Case in point: when the data first came out, it showed Britain's savings ratio at 9% as of Q3 2022.

Data for that very same period has since been revised down to 5%. Pretty different, wouldn't you say?

The good news is we have a much better way of measuring all this. Central banks provide data on actual money in actual real-life bank accounts. The bad news? No big war chest of cash waiting to be splashed...

Adjusted for inflation, the stock of savings sat in European banks is below the pre-Covid trend on both sides of the channel. Likewise, if you look at deposits as a ratio of household disposable incomes. That's a stark contrast with early 2022, where economies were still lavishing in huge pools of "excess savings" – money squirrelled away when there was nothing to spend it on during the pandemic.

Nominal vs. real household deposits



Source: Macrobond, ING

Real data deflated by CPI (HICP for Eurozone). US series includes checkable deposits/currency, time and savings deposits and money market fund shares. Eurozone is household M3 deposit data. UK is household M4 deposits.

Then there's the impact of higher interest rates. The textbooks tell us that they should incentivise saving. Sure enough, eurozone data shows flows into deposit accounts with a fixed maturity nearly perfectly offset outflows from those paying overnight rates back in 2022.

But the textbook has also changed over the past two decades. Savers benefit quickly from higher deposit rates, while mortgage rates, typically fixed well into the future, take much longer to respond. That blunts the negative cash flow impact of tighter monetary policy, at least initially. And let's face it, the ECB rate hike [we're now forecasting](#) isn't going to move the needle much anyway.

Finally, we have to remember that the bulk of savings is held by the wealthiest and, therefore, least affected by the cost-of-living crunch. James Knightley points to [Fed data](#), indicating the top 20% of earners hold 70% of savings (or specifically "other assets", most of which are deposits). Our own [European survey](#) shows almost a quarter of households have no savings at all.

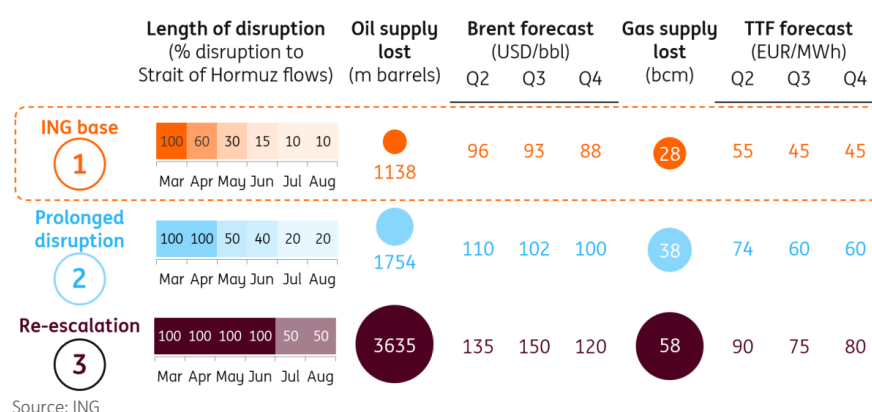
All of this matters for the central banks. If the data is right that households don't have a big wadge

of cash under the proverbial mattress – and those that do will be reluctant to spend it – then that's hardly good news for growth. And it's yet another reason to tread carefully when it comes to hiking interest rates.

James Smith

Three scenarios for energy markets

We've refreshed our three scenarios for the Iran crisis and energy markets as part of the [ING Monthly](#) published this week. Check out [this article](#) for more on what these scenarios mean for the economy and markets.



THINK Ahead in developed markets

United States (James Knightley)

- In a relatively quiet week for data, the focus will remain on US-Iran talks in the hope a deal can be reached that leads to a de-escalation and a re-opening of the Straits of Hormuz. Failure will undoubtedly hit risk assets and prompt a rebound in the dollar as markets price the prospect of higher for longer inflation, weaker growth and the Federal Reserve constrained from cutting interest rates.
- Outside of the data, the Fed has already entered its quiet period ahead of the April 29 FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held on April 21st. Once viewed as a hawk when he previously served as a Fed Governor, he has been nominated by President Trump who has demanded much lower interest rates from current incumbent, Jerome Powell. He will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there has to be justification.
- He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation, and, to be fair, there appears to be support for this view within the broader Fed given at the March forecast update they revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. Whether he will be approved quickly is another matter, given the Department of Justice's probe into Fed construction work overspends. The Senate Banking Committee is comprised of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom

Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

- In terms of the numbers to watch, March retail sales will be the highlight. We saw a decent increase in unit auto sales in March following weather depressed activity in the first two months of the year, but it will be the higher gasoline price that will really lift the value of sales. Given this situation, we should focus on the core "control" measure that strips out autos, gasoline, building materials and eating out. This tends to better reflect underlying spending trends and a 0.2%MoM gain would fail to keep pace with inflation. This will mean a third consecutive month of weakness in consumer demand in an environment of depressed sentiment and squeezed spending power.

United Kingdom (James Smith)

- **Jobs/wages (Tue):** Private-sector wage growth is set to continue falling as a fragile jobs market bears down on pay pressure. This is one of the key arguments against rate hikes from the Bank of England
- **Inflation (Wed):** Predictably, headline inflation is set to nudge higher as the early impacts of the Iran war shine through. Higher petrol and heating oil prices look set to lift headline CPI to 3.3%. It won't be until July when the full effects are felt via the next update in the household energy price cap.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Mar industry (Mon):** We forecast that industrial activity returned to its subdued normal in March, and posted just a slight annual growth despite favourable calendar effects (one more working day). Purchasing managers report soft external demand (poor export orders) and a spike in input prices, most likely linked to the energy crisis triggered by the Middle East conflict. We are likely to see it in PPI numbers as well, and a decline in producers' prices was probably much shallower last month as prices in refining products soared.
- **Mar labour market (Mon):** Wages growth eased visibly at the beginning of 2026 amid a lower increase in the statutory minimum wage and less generous hikes in the public sector. Lack of inflationary pressure (apart from unfolding energy shock) curbs wage demand. We expect wage dynamics to converge towards levels consistent CPI at the target. (4-5%). Employment in enterprises remains in decline as some industries face mounting pressure from cheap Chinese imports, and the structure of industrial production and exports is shifting in response to the fact that Poland has become a hub for Asian imports.
- **Mar retail (Mon):** Consumer demand remains robust and is the main driver of economic growth. The mid-term trend in rising sales of durable goods remains sustained, but recent deterioration in consumer confidence, linked to elevated geopolitical uncertainty (Middle East conflict), may potentially undermine the propensity to spend over the medium term. Still, we forecast that sales in March were strong, even as purchases of petroleum products probably eased towards the end of the month as the government announced measures targeted at reducing gasoline and diesel prices from the beginning of April (maximum price, reductions in excise duty and VAT rate).

Czech Republic (David Havrlant)

- **PPI (Mon):** Producer prices reflected the surge in oil prices throughout March yet likely remained in an annual decline. Demand from European main trading partners remains lukewarm and puts pressure on margins, so that businesses maintain their price competitiveness, notably in the environment of dumping imports from China. April's business and consumer sentiment suffered from the havoc in the Middle East, nevertheless both remained relatively upbeat in levels. An increasing unemployment rate may further weigh on consumer sentiment, while the duration of the conflict will shape business mood in line with the assumed damage to the global economy.

Turkey (Muhammet Mercan)

- **Rate decision (Wed):** The CBT has reiterated in February its commitment to tightening monetary conditions in the event of a marked deterioration in the inflation outlook. In line with this stance, it suspended one week repo auctions and allowed the ON rate to rise toward the upper limit of the interest rate corridor following the escalation of the US Iran conflict. The subsequent ceasefire, however, brought temporary relief in early April. Losses in the CBT's foreign exchange reserves have come to a halt, while preliminary data point to an improvement supported by the Bank's FX swap operations with domestic banks and some reversal in capital flows.
- Against this backdrop, we expect that the CBT will leave both the policy rate and the corridor framework unchanged at the April MPC meeting. Nonetheless, ongoing geopolitical uncertainty may encourage a more cautious approach, potentially leading to an adjustment of the policy rate from 37% toward the current effective funding rate of approximately 40%.

Kazakhstan (Dmitry Dolgin)

- **Rate decision (Fri):** We expect the National Bank of Kazakhstan (NBK) to keep the base rate unchanged at its 24 April meeting. Recent trends, including a slowdown in CPI to 11.0% YoY in March and a roughly 5% appreciation of the KZT against the USD since the outbreak of the Iran war, suggest some scope for rate cuts over the medium term. For now, however, elevated uncertainty around a potential global inflation shock and higher risk premia argue for caution. In our view, holding rates steady carries a lower risk of a policy mistake than an early cut.
- We have slightly [revised up](#) our CPI outlook for the CIS 4, effectively flattening the expected path of policy easing across the region. For Kazakhstan, arguments against an immediate cut include risk of additional domestic utility tariff hikes and quasi fiscal stimulus, both highlighted in the [NBK's previous communication](#). Strong economic activity and robust bank lending dynamics also suggest there is no urgency to ease policy at this stage.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
Monday 20 April				
Canada	1330	Mar CPI (MoM%/YoY%)	1.0/2.5	0.5/1.8
	1330	Mar Core CPI (YoY%)	2.4	0.4/2.3
Tuesday 21 April				
US	1330	Mar Retail Sales (MoM%)	1.6	0.6
UK	0700	Feb ILO Unemployment Rate	5.2	5.2
	0700	Feb Employment Change (000s)	30	84
	0700	Feb Average Weekly Earnings (3M YoY%)	3.5	3.8
	0700	Feb Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.8
Wednesday 22 April				
Eurozone	1500	Apr Consumer Confidence Flash	-	-16.3
UK	0700	Mar Core CPI (YoY%)	3.2	3.2
	0700	Mar CPI (MoM%/YoY%)	0.6/3.3	0.4/3.0
	0700	Mar Services CPI (YoY%)	4.4	4.3
Sweden	0700	Mar Unemployment Rate	-	8.8
Thursday 23 April				
US	1330	Initial Jobless Claims (000s)	210	207
	1445	Apr S&P Global Manufacturing PMI Flash	-	52.3
	1445	Apr S&P Global Services PMI Flash	-	49.8
	1445	Apr S&P Global Composite PMI Flash	-	50.3
Eurozone	0900	Apr HCOB Manufacturing PMI Flash	-	51.6
	0900	Apr HCOB Services PMI Flash	-	50.2
	0900	Apr HCOB Composite PMI Flash	-	50.7
Germany	0830	Apr HCOB Manufacturing PMI Flash	-	52.2
	0830	Apr HCOB Service PMI Flash	-	50.9
	0830	Apr HCOB Composite PMI Flash	-	51.9
France	0815	Apr HCOB Composite PMI Flash	-	48.8
UK	0930	Apr S&P Global Composite PMI Flash	50.0	50.3
	0930	Apr S&P Global Manufacturing PMI Flash	50.5	51
	0930	Apr S&P Global Services PMI Flash	50.0	50.5
Friday 24 April				
US	1500	Apr Michigan Sentiment Final	48	47.6
Germany	0900	Apr Ifo Business Climate	-	86.4
	0900	Apr Ifo Current Conditions	-	86.7
	0900	Apr Ifo Expectations	-	86
	0700	Mar Retail Sales (MoM%/YoY%)	-/-	-0.4/2.5
Canada	1330	Mar Retail Sales (MoM%)	0.8	1.1

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 20 April				
Czech Rep	0800	Mar PPI (MoM%/YoY%)	1.4/-1.1	0.1/-2.9
Tuesday 21 April				
Poland	0830	Mar Employment Growth (YoY%)	-0.8	-0.8
	0830	Mar Industrial Output (YoY%)	0.9	1.5
	0830	Mar PPI (YoY%)	-0.3	-2.3
	0830	Mar Wages (YoY%)	6	6.1
Turkey	0800	Apr Business Confidence	-	101
Wednesday 22 April				
Russia	1700	Mar Industrial Output	0.9	-0.9
	1700	Mar PPI (MoM%/YoY%)	-/-	0.5/-5.2
Turkey	1200	Apr CBT Weekly Repo Rate	37.00	37.00
	1200	Apr Overnight Lending Rate	40.00	40.00
	1200	Apr Overnight Borrowing Rate	35.50	35.50
Thursday 23 April				
Poland	0830	Mar Retail Sales (YoY%)	5.2	5
	0830	Apr Consumer Confidence	-	-12.2
	1300	Mar Money Supply (YoY%)	10.9	10.6
Friday 24 April				
Russia	1130	Apr Central Bank Key Rate	14.50	15.00
Poland	0830	Mar Unemployment Rate	6	6.1
Czech Rep	0800	Apr Consumer Confidence	105.2	110.4
	0800	Apr Business Confidence	98.8	100.4
	0800	Apr Composite Confidence	99.9	102.1
Hungary	0730	Mar Unemployment Rate	4.9	4.9
Kazakhstan	0000	Apr Interest Rate Decision	18.00	18.00

Source: Refinitiv, ING forecasts

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Carsten: What the Middle East war means for the economy right now

Higher oil prices, higher inflation, lower growth. It's a depressing snapshot of what's in store for the global economy as the war in the Middle East continues. Here's Carsten Brzeski's take on where we are right now.

Our global team gives its detailed perspective in our latest ING Monthly. [Read it here](#)



What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

[Watch video](#)

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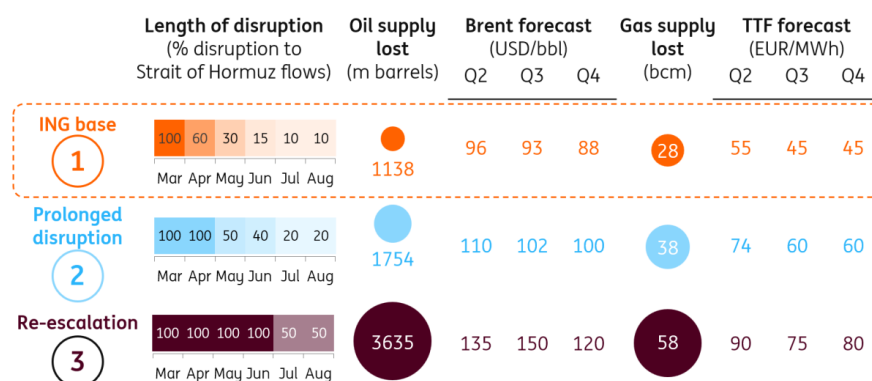
Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies



With the world in flux, certainty is a rare commodity

Three scenarios for energy prices



Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US\$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US\$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US\$150/bbl in the third quarter.

Central banks

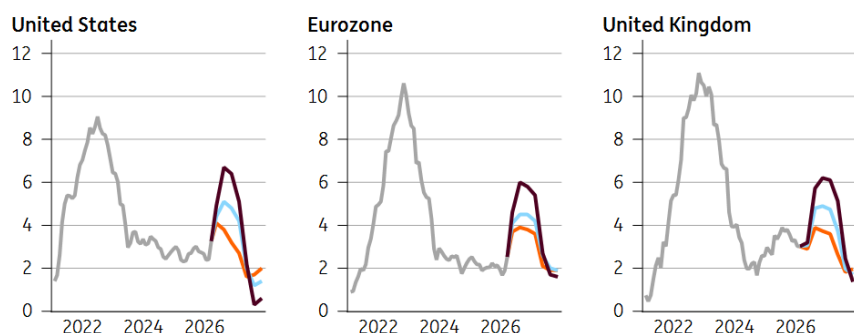
Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

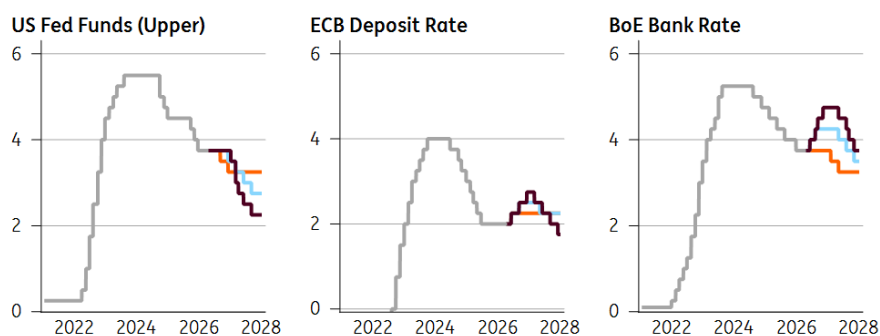
In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation

Inflation (YoY%)



Central banks



Source: Macrobond, ING

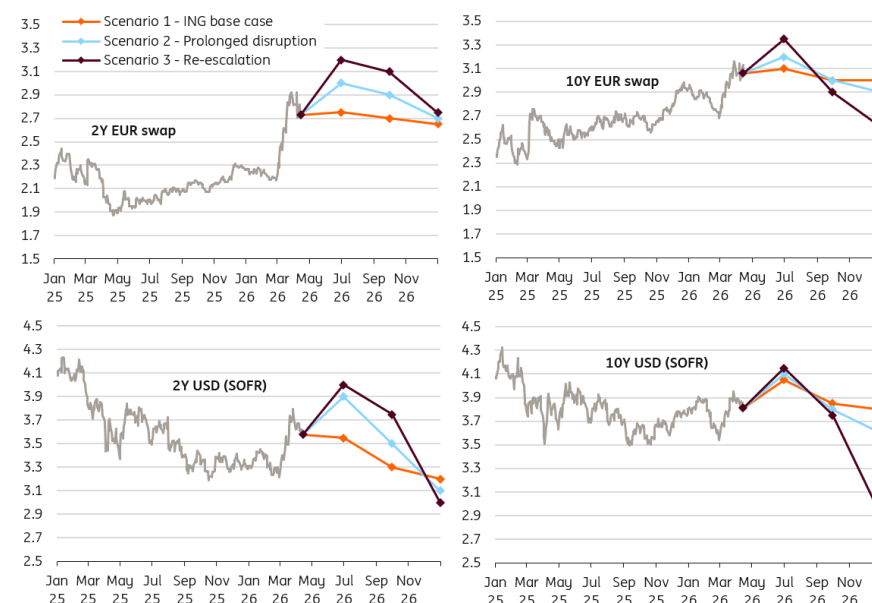
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

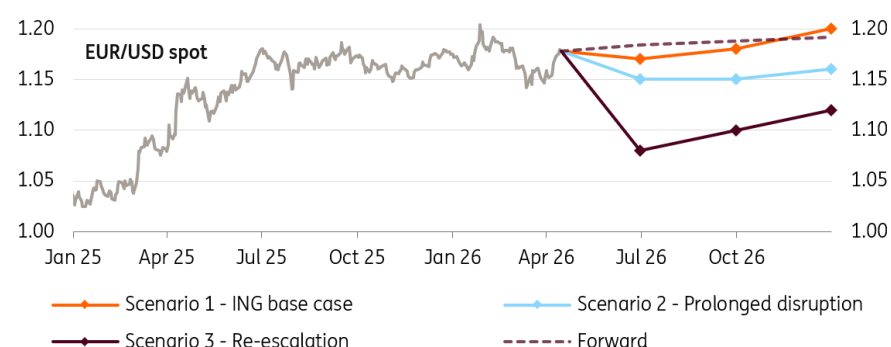
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US\$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	① Base case			② Prolonged disruption			③ Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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Energy market outlook hinges on the Middle East

The key factor for energy markets remains developments in the Middle East. The only way energy prices move lower is the resumption of flows through the Strait of Hormuz. In the absence of this, prices will only move higher



Dated Brent crude oil prices hit \$144.46 a barrel recently, an all-time high

Oil futures don't fully reflect the scale of supply disruptions

Oil flows through the Strait of Hormuz remain largely cut off, which continues to tighten the oil market. However, despite this significant tightening, the futures market appears to be responding more to headlines over how the war may evolve, with hopes that we could see a resolution in the coming weeks. However, we just need to look at the physical market to get a better idea of the reality of the supply disruption. Dated Brent has traded as high as \$144/bbl recently and is trading at around a \$30/bbl premium to Brent futures. Clearly, the longer supply disruptions persist, the more likely we will see futures needing to catch up with the physical market.

We estimate that around 13m b/d of oil flows from the Persian Gulf are being disrupted due to the Strait of Hormuz blockade. This is after taking into account pipeline diversions, Iranian tankers still moving through the Strait (although this could change with the recent US blockade), as well as some other tankers transiting this key chokepoint. While releases of government stocks and the

drawing down of floating storage have helped the market, the shortfall is still significant. Therefore, there is a need for demand destruction. We are already seeing signs of this, particularly in parts of Asia, with several governments in the region announcing measures to reduce energy consumption. Clearly, the longer this persists, the more demand destruction we will need to see, and this will have to occur across other regions as well. To drive further demand destruction, we will need to see higher oil prices.

For now, our base case is that energy flows will start to make a gradual recovery through the second quarter. However, flows will remain below pre-war levels until at least year-end. This would see Brent averaging \$96/bbl over 2Q26 and \$89/bbl over the full year 2026. A more extreme scenario would be where Persian Gulf flows remain mostly cut off, while escalation sees extensive infrastructure damage, and risks to Red Sea oil flows also grow, which could see Brent trading over \$150/bbl.

The LNG market continues to tighten

The global LNG market also continues to tighten with developments in the Persian Gulf, and the market is set to see supply disruptions persist for longer, even if we were to get a quick resumption of vessel movements through the Strait of Hormuz. Firstly, restarting Qatari LNG capacity will take some time, while 17% of Qatari LNG capacity will also be offline for the foreseeable future after an Iranian attack. As a result, we are seeing the Asian and European gas market increasingly pricing in a tighter market until 2027. A delay in the start of new Qatari capacity only adds to a tighter-than-expected outlook.

There is little in the way of supply alternatives for the market to offset the sizeable volumes we are seeing disrupted from the Persian Gulf. The ramp-up of new US LNG capacity is simply not enough. Therefore, demand destruction will be key to balancing the gas market. This will likely be evident in the power sector, where we expect the industry to lean more on coal, particularly in Asia. But even in Europe, it makes more sense to burn coal rather than gas, even when taking into consideration carbon prices.

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